

LTIMindtree Limited

Annual Report FY2024 (Summary)

For the financial year ended March 31, 2024

Registered Office: L&T House, Ballard Estate, Mumbai 400001, India

BSE: 540005 | NSE: LTIM

This document is a summary in annual-report format, compiled from the company's audited consolidated financial results, results press release and investor fact sheet. It is not the company's official annual report. All Rs figures are converted from Rs million to Rs crore and rounded, so totals may differ by 1. 'n.d.' means the figure was not disclosed in the sources used.

Year in Review

FY2024 was LTIMindtree's first full financial year as a merged company. Revenue grew 7.0% to Rs 35,517 crore, or 4.4% in US dollar terms to USD 4,287 million (4.2% in constant currency). Net profit rose 4.0% to Rs 4,585 crore, while EBIT margin eased to 15.7% from 16.2%.

Order inflow for the year was USD 5.6 billion, up 15.7%. In the results release, CEO Debashis Chatterjee said, "We closed FY24 amidst a tough macro environment", pointing to the order book as evidence of the merger's scale benefits.

Cash generation was the standout: operating cash flow rose 83% to Rs 5,670 crore as days sales outstanding fell from 91 to 80 days. The Board recommended a final dividend of Rs 45 per share.

Company Overview

LTIMindtree is a technology consulting and digital solutions company and part of the Larsen & Toubro Group. It combines the erstwhile Larsen & Toubro Infotech and Mindtree, which merged in November 2022. At the end of FY2024 it had 81,650 professionals serving 738 active clients from 38 countries.

Its offerings include cloud, data and AI, digital engineering, enterprise applications (including one of the larger SAP practices), quality engineering, infrastructure and security, and consulting. Revenue is reported across five industry segments, led by Banking, Financial Services and Insurance.

Financial Highlights FY2024

Metric	FY2024	FY2023	Change
Revenue (Rs Crore)	35,517	33,183	+7.0%
Revenue (USD Million)	4,287.3	4,105.7	+4.4%
Net Profit (Rs Crore)	4,585	4,410	+4.0%
EBITDA (Rs Crore)	6,387	6,108	+4.6%
EBITDA Margin (%)	18.0%	18.4%	-0.4 pp
Net Profit Margin (%)	12.9%	13.3%	-0.4 pp
Basic EPS (Rs)	154.85	149.07	+3.9%
Free Cash Flow (CFO less capex, Rs Crore)	4,826	2,155	+123.9%
Return on Equity (PAT / closing equity, %)	22.9%	26.6%	-3.7 pp
Order Inflow (USD Billion)	5.60	4.87	+15.0%
Headcount	81,650	84,546	-3.4%
Attrition, TTM (%)	14.4%	20.2%	-5.8 pp

EBITDA is the sum of segment results as reported in the audited segment note. Free cash flow and ROE are computed here from the audited statements using the stated definitions.

Revenue Mix by Geography

Geography	Q4 FY2024 share	Q4 FY2023 share	FY2024 USD growth
North America	73.8%	71.9%	+5.9%

Geography	Q4 FY2024 share	Q4 FY2023 share	FY2024 USD growth
Europe	14.6%	15.4%	+3.5%
Rest of World	11.6%	12.7%	-3.0%
Total	100%	100%	+4.4%

LTIMindtree discloses geography as a share of quarterly revenue; full-year growth rates are from the FY2024 Management Discussion and Analysis.

Revenue by Business Segment (Rs Crore)

Segment	FY2024	FY2023	Growth
Banking, Financial Services & Insurance	12,841	12,249	+4.8%
Technology, Media & Communications	8,399	8,066	+4.1%
Manufacturing & Resources	6,588	5,611	+17.4%
Consumer Business	5,356	5,112	+4.8%
Healthcare, Life Sciences & Public Services	2,334	2,144	+8.9%
Total	35,517	33,183	+7.0%

Technology, Media & Communications was previously named Hi-Tech, Media & Entertainment, and Consumer Business was previously Retail, CPG, Travel, Transport & Hospitality.

Consolidated Income Statement (Rs Crore)

Particulars	FY2024	FY2023
Revenue from Operations	35,517	33,183
Other Income	702	557
Total Income	36,219	33,740
Employee Benefit Expenses	22,732	20,880
Sub-contracting Expenses	2,560	2,829
Other Expenses	3,837	3,367
Finance Costs	222	150
Depreciation and Amortisation	819	723
Total Expenses	30,170	27,948
Profit Before Tax	6,049	5,792
Tax Expense	1,464	1,381
Net Profit After Tax	4,585	4,410
Less: Non-controlling Interests	3	2
Profit Attributable to Shareholders	4,582	4,408
Other Comprehensive Income	492	-655
Total Comprehensive Income	5,077	3,755
Basic EPS (Rs)	154.85	149.07
Diluted EPS (Rs)	154.48	148.83

Consolidated Balance Sheet as of March 31 (Rs Crore)

Particulars	FY2024	FY2023
ASSETS		
Property, Plant and Equipment (incl. CWIP)	2,122	1,782
Right-of-Use Assets	1,901	1,254
Goodwill	1,193	1,189
Other Intangible Assets (incl. under development)	315	356
Non-current Investments	1,990	717

Particulars	FY2024	FY2023
Other Non-current Assets	1,195	1,012
Total Non-current Assets	8,717	6,310
Current Investments	6,753	4,742
Trade Receivables	5,706	5,623
Unbilled Revenue	1,326	1,601
Cash and Cash Equivalents	1,820	2,339
Other Bank Balances	996	593
Other Current Assets	2,245	2,288
Total Current Assets	18,846	17,186
TOTAL ASSETS	27,563	23,496
EQUITY AND LIABILITIES		
Share Capital	30	30
Other Equity	19,988	16,563
Non-controlling Interests	9	7
Total Equity	20,026	16,599
Borrowings	41	125
Lease Liabilities	2,030	1,416
Trade Payables	1,494	1,294
Other Liabilities and Provisions	3,972	4,062
Total Liabilities	7,537	6,897
TOTAL EQUITY AND LIABILITIES	27,563	23,496

Consolidated Cash Flow Statement (Rs Crore)

Particulars	FY2024	FY2023
Profit Before Tax	6,049	5,792
Depreciation and Amortisation	819	723
Other Non-cash Adjustments	-225	-133
Working Capital Changes	598	-1,765
Income Tax Paid	-1,571	-1,522
Net Cash from Operating Activities	5,670	3,095
Capital Expenditure	-843	-939
Purchase of Investments	-31,997	-20,013
Sale of Investments	28,667	20,639
Interest Received and Other	262	-17
Net Cash from Investing Activities	-3,912	-331
Dividend Paid	-1,775	-1,563
Lease Payments (incl. interest)	-376	-339
Borrowings, Interest and Other	-117	-30
Net Cash from Financing Activities	-2,269	-1,932
Net Increase/(Decrease) in Cash	-511	832
Exchange Rate Effect	-6	60
Opening Cash Balance	2,338	1,446
Closing Cash Balance	1,820	2,338

Closing cash for FY2023 in the cash flow statement (Rs 2,338 crore) differs from the balance sheet figure (Rs 2,339 crore) by Rs 1 crore of book overdraft used for cash management, as reconciled in the audited statement.

Management Discussion and Analysis

Revenue Performance: Revenue grew 7.0% in rupee terms and 4.4% in US dollar terms. In dollar terms, Manufacturing & Resources was the fastest-growing vertical at 14.6%, followed by Healthcare, Life Sciences & Public Services at 6.1%; BFSI grew 2.2%. North America, at 73.8% of Q4 revenue, grew 5.9% for the year.

Profitability: EBITDA rose 4.6% to Rs 6,387 crore but margin eased to 18.0% from 18.4%. Employee benefit expenses rose 8.9% and reached 64.0% of revenue, up from 62.9%, driven by increments and promotions. Sub-contracting costs fell 9.5% as contractor headcount was reduced. Other income rose 26% on higher returns from treasury investments.

Balance Sheet: Cash and investments rose by Rs 3,169 crore to Rs 11,560 crore. Property and equipment including work in progress increased by Rs 340 crore, mainly from construction of premises in Kolkata, Bengaluru and Chennai, and right-of-use assets grew by Rs 647 crore from new leases.

Clients and People: Active clients rose to 738 from 728. Clients billing more than USD 10 million rose by 10 to 91. Headcount fell 2,896 to 81,650 as hiring was calibrated to demand, and trailing twelve-month attrition improved to 14.4% from 20.2%.

Key Risk Factors

- 1. Geographic Concentration:** North America contributed 73.8% of Q4 FY2024 revenue, so a slowdown in US technology spending would have an outsized effect.
- 2. Currency Risk:** In Q4 FY2024, 77.3% of revenue was billed in USD and 7.7% in EUR. Outstanding USD hedges were about USD 4 billion as of June 30, 2024.
- 3. Client Concentration:** The top 5 clients contributed 28.3% and the top 10 clients 35.5% of Q4 FY2024 revenue, up from 26.7% and 34.1% in Q1 FY2024.
- 4. Indirect Tax Disputes:** The company is contesting a Karnataka GST intimation of liability of Rs 4,831 crore (FY18 to FY21), a Maharashtra GST demand of Rs 206 crore and a Karnataka show cause notice of Rs 727 crore, all relating to zero-rated supplies. It does not expect a material financial impact.
- 5. Vertical Concentration:** BFSI contributed 36.2% of FY2024 revenue and grew only 2.2% in USD terms, below the company average.
- 6. Talent and Cost Risk:** Employee costs rose to 64.0% of revenue. Wage inflation without matching pricing or productivity gains would pressure margins.

Dividend and Capital Return

Particulars	FY2024	FY2023
Interim Dividend per Share (Rs)	20.00	n.d.
Final Dividend per Share (Rs)	45.00	40.00
Dividend Recognised/Paid in the Year (Rs Crore)	1,775	1,563
Share Buyback (Rs Crore)	Nil	Nil

The Board recommended a final dividend of Rs 45 per equity share of par value Rs 1 for FY2024, which shareholders approved at the AGM on June 26, 2024. The Rs 1,775 crore of dividends paid during FY2024 corresponds to the FY2023 final dividend of Rs 40 and the FY2024 interim dividend of Rs 20 per share.

Notes to Financial Statements (Selected)

Note 1 - Basis of Preparation: The consolidated financial statements are prepared under Ind AS prescribed under Section 133 of the Companies Act, 2013, and presented in Rs million in the original filing.

Note 2 - Revenue Recognition: Time-and-material revenue is recognised as services are rendered. Fixed-price development revenue is recognised using the percentage-of-completion (input) method based on costs expended. Fixed-price maintenance revenue is recognised on a time-elapsed basis.

Note 3 - Goodwill: Goodwill of Rs 1,193 crore is allocated across the five industry segments (BFSI: Rs 623 crore). Impairment testing uses a five-year forecast, 2% terminal growth and a pre-tax discount rate of 16.1% to 17.3%. No impairment was triggered.

Note 4 - Leases: Right-of-use assets rose to Rs 1,901 crore from Rs 1,254 crore and lease liabilities to Rs 2,030 crore from Rs 1,416 crore, mainly from new leases across locations.

Note 5 - Subsidiary Mergers: Lymbyc Solutions, Powerupcloud Technologies and Cuelogic Technologies (India) were merged into the company with effect from April 1, 2023.

Independent Auditor Report

Deloitte Haskins & Sells Chartered Accountants LLP (Firm Registration No. 117364W/W-100739) audited the consolidated financial statements and concluded that they give a true and fair view in conformity with Ind AS.

Key Audit Matter: revenue recognition on fixed-price contracts using the percentage-of-completion method, given the judgement involved in estimating costs to complete. The report was signed in Mumbai on April 24, 2024 by Gurvinder Singh, Partner.

Sources

LTIMindtree Integrated Annual Report 2023-24, consolidated financial statements:

itm.com/content/dam/ltimcorporatewebsite/annual-report/pdf/consolidated-financial-statements.pdf

LTIMindtree Integrated Annual Report 2023-24, Management Discussion and Analysis: ltimindtree.com/annual-report-html/mda.html

LTIMindtree Q4 FY24 results press release (Business Wire, April 24, 2024)

LTIMindtree Q1 FY25 earnings release and fact sheet (Q4 FY24 comparatives, client and currency metrics); Q4 FY23 press release (FY2023 headcount and attrition).